GALIFORM CORPORATE SERVICES LIMITED

DIRECTORS' REPORT AND FINANCIAL STATEMENTS

FOR THE 52 WEEKS ENDED 27 DECEMBER 2008

REGISTERED NUMBER: 1767386

FRIDAY
ASIVO9HT
A74 01/05/2009 90
COMPANIES HOUSE

GALIFORM CORPORATE SERVICES LIMITED
DIRECTORS' REPORT

The directors have pleasure in submitting their report and the audited financial statements of the Company for the 52 weeks to 27 December 2008 (2007: 52 Weeks to 29 December 2007).

BUSINESS REVIEW AND PRINCIPAL ACTIVITIES

The company is a wholly owned subsidiary of Galiform Plc, and operates as part of the Galiform Plc's Corporate division. The company's principal activities are providing various corporate and Information Technology services to other member companies of the Galiform Plc group. The directors are not aware, at the date of this report, of any likely major changes in the Company's activities in the next year.

The loss for the financial period as shown in the profit and loss account amounted to £18,978,000 (2007: loss of £13,042,000) after an exceptional loss of £3,728,000 (2007: exceptional profit of £4,300,000). The directors recommend that no dividend be paid. The directors are satisfied with the progress of the business.

The balance sheet shows the Company's financial position at the end of the period. Details of amounts owed to the parent company are shown in note 11.

The Galiform Plc group ("the Group") manages its operations on a divisional basis. For this reason, the Company's directors believe that further key performance indicators specific to the Company are not necessary or appropriate for an understanding of the development, performance or position of the business. The performance of the corporate division of Galiform Plc, which includes the Company, is discussed in the Group's Annual Report, which does not form part of this report.

The Company, as part of the Group, recognises the importance of its environmental responsibilities, monitors its impact on the environment, and designs and implements policies to reduce any damage that might be caused by the group's activities. The Company operates in accordance with Group policies, which are described in the Group's Annual Report, which does not form part of this Report.

PRINCIPAL RISKS AND UNCERTAINTIES

The Company is financed by a loan from its ultimate parent and has no third party debt. It therefore has no interest rate exposure.

The Group's risks are discussed in the Group's Annual Report, which does not form part of this Report.

GOING CONCERN

After making enquiries and taking into consideration the profitability and financial position of the company, the directors have formed a judgement, at the time of approving the financial statements, that there is a reasonable expectation that the company has adequate resources to continue in operational existence for the foreseeable future based on a written commitment of financial support from its ultimate parent company, Galiform plc which is legally binding. For this reason the directors continue to adopt the going concern basis in preparing the financial statements.

EMPLOYEES

Details of the number of employees and related costs can be found in notes 4 and 5 to the financial statements.

Applications for employment by disabled persons are always fully considered, bearing in mind the aptitudes of the applicant concerned. In the event of members of staff becoming disabled, every effort is made to ensure that their employment with the company continues and that appropriate training is arranged. It is the policy of the Company that the training, career development, and promotion of disabled persons should, as far as possible, be identical with that of other employees.

The Company participates in the Group's policies and practices to keep employees informed on matters relevant to them as employees through regular meetings. Employee representatives are consulted regularly on a wide range of matters affecting their interests.

DIRECTORS

The directors of the Company who served throughout the period, except as noted were:

M Ingle
J McManus
M Robson
G Hughes (resigned 27 December 2008)

SUPPLIER PAYMENT POLICY

It is the Company's policy, in relation to all its suppliers, to settle its terms of payment when agreeing the terms of the transaction and to abide by those terms provided that it is satisfied that the supplier has provided the goods or services in accordance with agreed terms and conditions. The Company does not follow any code or standard on payment practice, but it is the Company's policy to pay all its suppliers within 30 days of the end of the month in which it receives the invoice.

The Company pays trade creditors on behalf of both itself and other group companies. The number of days purchases outstanding for payment when taking into account the payments both for this company and for other group companies at the period end was 20 days *(2007: 20 days)*.

POLITICAL AND CHARITABLE CONTRIBUTIONS

The Company made no charitable donations during the period *(2007: £nil)*. The company made no political donations during the current or previous period.

AUDITORS

Each of the persons who is a director at the date of approval of this annual report confirms that:

- so far as the directors are aware, there is no relevant audit information of which the company's auditors are unaware;
- the directors have taken all the steps they ought to have taken as directors in order to make themselves aware of any relevant audit information and to establish that the company's auditors aware of that information.

The confirmation is given and should be interpreted in accordance with the provisions of s234ZA of the Companies Act 1985.

On 1 December 2008 Deloitte & Touche LLP changed its name to Deloitte LLP. Pursuant to a shareholders' resolution, the Company is not obliged to re-appoint its auditors annually and Deloitte LLP will therefore continue in office.

REGISTERED OFFICE

The Company's registered office is International House, 66 Chiltern Street, London, W1U 4JT.

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The directors are responsible for preparing the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law, the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). The financial statements are required by law to give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable accounting standards have been followed; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

The directors are responsible for keeping proper accounting records, which disclose with reasonable accuracy at any time the financial position of the Company and to enable them to ensure that the financial statements comply with the Companies Act 1985. They are also responsible for the system of internal control, safeguarding the assets of the company and hence for taking responsible steps for the prevention and detection of fraud and other irregularities.

By Order of the Board

C Bishop
Secretary
27 April 2009

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF GALIFORM CORPORATE SERVICES LIMITED

We have audited the financial statements of Galiform Corporate Services Ltd for the 52 weeks ended 27 December 2008 which comprise the Profit and Loss Account, Balance Sheet and the related notes 1 to 21. These financial statements have been prepared under the accounting policies set out therein.

This report is made solely to the company's members, as a body, in accordance with section 235 of the Companies Act 1985 Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditors' report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Respective responsibilities of directors and auditors

The directors' responsibilities for preparing the financial statements in accordance with applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice) are set out in the Statement of Directors' Responsibilities.

Our responsibility is to audit the financial statements in accordance with relevant legal and regulatory requirements and International Standards on Auditing (UK and Ireland).

We report to you our opinion as to whether the financial statements give a true and fair view and are properly prepared in accordance with the Companies Act 1985. We also report to you whether in our opinion the information given in the Directors' Report is consistent with the financial statements.

In addition we report to you if, in our opinion, the company has not kept proper accounting records, if we have not received all the information and explanations we require for our audit, or if information specified by law regarding directors' remuneration and other transactions is not disclosed.

We read the Directors' Report and consider the implications for our report if we become aware of any apparent misstatements within it.

Basis of audit opinion

We conducted our audit in accordance with International Standards on Auditing (UK and Ireland) issued by the Auditing Practices Board. An audit includes examination, on a test basis, of evidence relevant to the amounts and disclosures in the financial statements. It also includes an assessment of the significant estimates and judgements made by the directors in the preparation of the financial statements, and of whether the accounting policies are appropriate to the company's circumstances, consistently applied and adequately disclosed.

We planned and performed our audit so as to obtain all the information and explanations which we considered necessary in order to provide us with sufficient evidence to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or other irregularity or error. In forming our opinion we also evaluated the overall adequacy of the presentation of information in the financial statements.

Opinion

In our opinion:

- the financial statements give a true and fair view, in accordance with United Kingdom Generally Accepted Accounting Practice, of the state of the company's affairs as at 27 December 2008 and of its loss for the period then ended;
- the financial statements have been properly prepared in accordance with the Companies Act 1985; and
- the information given in the Directors' Report is consistent with the financial statements.

Deloitte LLP

Deloitte LLP
Chartered Accountants and Registered Auditors

London, United Kingdom
27 April 2009

GALIFORM CORPORATE SERVICES LIMITED
PROFIT AND LOSS ACCOUNT
FOR THE 52 WEEKS ENDED 27 DECEMBER 2008

		52 weeks to 27 December 2008			52 Weeks to 29 December 2007		
	Notes	Before Exceptional Items £'000	Exceptional Items (note 3) £'000	Total 2008 £'000	Before Exceptional Items £'000	Exceptional Items £'000	Total 2007 £'000
Turnover:							
Continuing operations	1	17,547	-	17,547	22,844	-	22,844
		17,547	-	17,547	22,844	-	22,844
Cost of Sales		-	-	-	-	-	-
Gross profit		17,547	-	17,547	22,844	-	22,844
Selling and administrative costs (continuing)		(37,071)	-	(37,071)	(44,050)	(2,100)	(46,150)
Selling and administrative costs (discontinued)	3	-	(5,183)	(5,183)			
Operating loss:							
Continuing Operations		(19,524)	-	(19,524)	(21,206)	(2,100)	(23,306)
Discontinued Operations	3	-	(5,183)	(5,183)	-	(11,100)	(11,100)
Loss on disposal of fixed assets		(433)	-	(433)	760	-	760
Loss on ordinary activities before finance charges		(19,957)	(5,183)	(25,140)	(20,446)	(13,200)	(33,646)
Interest receivable and similar income		41	-	41	66	-	66
Interest payable and similar charges		(130)	-	(130)	(111)	-	(111)
Loss on ordinary activities before taxation		(20,046)	(5,183)	(25,229)	(20,491)	(13,200)	(33,691)
Tax credit on loss on ordinary activities	7	4,796	1,455	6,251	3,149	17,500	20,649
Loss for the period		(15,250)	(3,728)	(18,978)	(17,342)	4,300	(13,042)

There are no recognised gains or losses in the current or preceding financial periods other than as stated in the profit and loss account and therefore no statement of recognised gains and losses has been presented.

GALIFORM CORPORATE SERVICES LIMITED
BALANCE SHEET AT 27 DECEMBER 2008

	Notes	27 December 2008 £000	27 December 2008 £000	29 December 2007 £000	29 December 2007 £000
Fixed assets					
Tangible assets	8		**12,180**		14,101
Investments	9		**48,475**		48,473
			60,655		62,574
Current assets					
Debtors	10	**425,518**		461,305	
Cash at bank		**45**		112	
		425,563		461,417	
Creditors : amounts falling due within one year					
Creditors	11	**(769,373)**		(787,312)	
Net current liabilities			**(343,810)**		(325,895)
Total assets less current liabilities			**(283,155)**		(263,321)
Creditors : amounts falling due after more than one year					
Creditors	11		**(949)**		(1,936)
Provisions for liabilities and charges	12		**(23,416)**		(26,699)
Net liabilities			**(307,518)**		(291,955)
Capital and reserves					
Share capital	14		**12,358**		12,358
Profit and loss account	15		**(334,067)**		(315,089)
Shared based payments	15		**14,191**		10,776
Shareholders' deficit			**(307,518)**		(291,955)

Approved by the Board of Directors on 27 April 2009

Mark Robson
Director

1. ACCOUNTING POLICIES

The accounting policies summarised below have all been applied consistently throughout the current and the preceding periods.

BASIS OF PREPARATION

The financial statements are prepared under the historical cost convention and in accordance with applicable United Kingdom accounting standards.

The financial statements have also been prepared on a going concern basis as discussed in the Directors' report on page 1.

Under Financial Reporting Standard 1, the Company is exempt from the requirement to prepare a cash flow statement on the grounds that it is a wholly owned subsidiary undertaking and a consolidated cash flow statement is given in the financial statements of Galiform Plc.

The financial statements include the results for the 52 week period ended 27 December 2008 *(2007: 52 weeks to 29 December)*, being the Saturday nearest to the Company's accounting reference date of 31 December.

The Company is exempt from the requirement to prepare Group financial statements under s228 of the Companies Act 1985 since its results are included in the consolidated financial statements of its ultimate parent company, Galiform Plc. Accordingly these accounts present information about the company as an individual undertaking and not its group.

TURNOVER

Turnover represents the gross recharge to other group companies.

TANGIBLE FIXED ASSETS

Fixed assets are stated at cost net of accumulated depreciation or provision for impairment. Depreciation is provided to write off the cost less any residual value of tangible fixed assets over their estimated useful lives as follows:

Plant and machinery, fixtures and fittings	10% - 25% p.a.
Motor vehicles	20% - 25% p.a.
Leasehold properties	Over life of lease

INVESTMENTS

Trade investments and loans, and shares in subsidiary companies, are stated at cost less any provision for impairment. Investments in shares in ultimate parent are shares held by employee share ownership trusts, and are recorded at cost, including expenses, less amounts written off. Amounts written off these shares are calculated so as to charge the cost of the shares to profit and loss over the period of the underlying share options or awards.

TAXATION

UK Corporation tax is provided at amounts expected to be paid or recovered, using tax rules and laws that have been enacted or substantially enacted by the balance sheet date.

Deferred taxation is provided on a full provision basis, without discounting, on all timing differences which have arisen but not reversed at the balance sheet date. Except where otherwise required by Accounting Standards no timing differences are recognised in respect of:

(a) property revaluation surpluses where there is no commitment to sell the asset;
(b) gains on sale of assets where those assets have been rolled over into replacement assets; and
(c) additional tax which would arise if profits of overseas subsidiaries were distributed, and deferred tax assets to the extent that they are regarded as not likely to be recovered.

1. ACCOUNTING POLICIES (Cont'd)

FOREIGN CURRENCY

Transactions denominated in foreign currencies are translated into sterling and recorded at the rate of exchange ruling at the date of the transaction.

Assets and liabilities denominated in foreign currencies are translated into sterling at rates ruling at the balance sheet date. Foreign exchange profits and losses arising during the period are included in loss on ordinary activities before taxation.

LEASED ASSETS

Leases are classified as finance leases when the terms of the lease transfer substantially all the risks and rewards of ownership to the Group. All other leases are classified as operating leases. For property leases, the land and building elements are treated separately to determine the appropriate lease classification.

Finance leases

Assets funded through finance leases are capitalised as property plant and equipment, and depreciated over their estimated useful lives or the lease term, whichever is shorter. The amount capitalised is the lower of the fair value of the asset or the present value of the minimum lease payments during the lease term at the inception of the lease. The resulting lease obligations are included in liabilities net of finance charges. Finance costs on finance leases are charged directly to the income statement.

Operating leases

Assets leased under operating leases are not recorded on the balance sheet. Rental payments are charged directly to the income statement.

Lease incentives

Lease incentives primarily include up-front cash payments or rent-free periods. Lease incentives are capitalised and spread over the period of the lease term.

Leases with predetermined fixed rental increases

The Group has a number of leases with predetermined fixed rental increases. These rental increases are accounted for on a straight-line basis over the period of the lease term.

PENSIONS

i) Defined benefit pension schemes:

The Company participates in its parent company (Galiform Plc)'s group retirement benefit scheme. This is a defined benefit arrangement, operating through a multi-employer defined-benefit scheme. The assets and liabilities of the scheme are held separately from those of the Galiform Group. The company is unable to identify its share of the underlying assets and liabilities of the scheme and accordingly accounts for the scheme as if it was a defined contribution scheme. This is in line with the guidance in FRS 17 relating to group defined benefit pension schemes.

ii) Defined contribution pension schemes:

The Galiform Group operates a defined contribution scheme for its employees. For defined contribution schemes, the amount charged to the profit and loss account in respect of pension costs and other post-retirement benefits is the contributions payable in the year. Differences between contributions payable in the year and contributions actually paid are shown as either accruals or prepayments in the balance sheet.

SHARE-BASED PAYMENTS

FRS 20 has been applied to all grants of equity instruments after 7 November 2002 that were unvested as of 25 December 2005.

The Company issues equity-settled share-based payments to certain employees, based on the shares of its ultimate parent company Galiform PLC. Equity-settled share-based payments are measured at fair value at the date of grant. The fair value determined at the grant date of the equity-settled share based payments is expensed on a straight-line basis over the vesting period, based on the Group's estimate of shares that will eventually vest.

1 ACCOUNTING POLICIES (cont'd)

SHARE-BASED PAYMENTS (cont'd)

Fair value is measured by use of a binomial model. The expected life used in the model has been adjusted, based on management's best estimate, for the effects of non-transferability, exercise restrictions, and behavioural considerations.

2. LOSS ON ORDINARY ACTIVITIES BEFORE TAXATION

Loss on ordinary activities before taxation is stated after charging/(crediting):

	27 Dec 2008	29 Dec 2007
	£000	£000
Auditors' remuneration – audit services	**25**	25
– other tax services	**20**	30
Depreciation and other amounts written off fixed assets:		
- owned assets	**3,648**	6,191
- finance leases	**406**	-
Hire of plant and machinery – operating lease rentals	**714**	1,950
Rent payable on property	**10,270**	13,575

The audit fee for Galiform Corporate Services Ltd was £25,000 *(2007: £25,000).*

3. EXCEPTIONAL ITEMS

Charged to the income statement in the 52 week to 27 December 2008 are analysed as follows:

	Other operating expenses	Total
Discontinued Operations:	£000	£000
Costs and obligations relating to empty properties	3,165	3,165
Bad debts written off	2,012	2,012
Total discontinued exceptional items before tax	**5,183**	**5,183**
Tax credit on discontinued operations	(1,455)	(1,455)
Net exceptional items in discontinued operations	**3,728**	**3,728**

3. EXCEPTIONAL ITEMS (continued)

Charged to the income statement in the 52 week to 29 December 2007 are analysed as follows:

	Other operating expenses	Administration expenses	Total
Continuing Operations:	£000	£000	£000
Group Restructuring (see note 3a)	-	3,171	3,171
Other loss on disposal	(1,099)	-	(1,099)
Total Charged to Operating Profit			**2,072**
Tax Credit on exceptional items in continuing operations			(983)
Total operating exceptional items after tax			**1,089**
Exceptional tax credit (see note 3b)			(14,423)
Net exceptional items in continuing operations			**(13,334)**
Discontinued Operations:			
Business Rates and other property costs (see note 3c)			7,094
Professional Fees associated with discontinued operations			4,000
Total discontinued exceptional items before tax			**11,094**
Tax Credit on discontinued operations			(2,100)
Net exceptional items in discontinued operations			**8,994**
Total exceptional items before tax			**13,166**
Tax on exceptional items			**(3,083)**
Exceptional tax credit			**(14,423)**
Total exceptional items after tax			**(4,340)**

3 (a) Restructuring - 2007

The IT restructuring involves relocating and restructuring the IT department, in response to the new business structure of the continuing group. The costs of restructuring comprise the following items:

	£000
IT restructuring:	
- redundancies and other staff costs	1,163
- asset write offs	1,563
- systems separation	445
Total restructuring costs before tax	3,171
Tax credit on restructuring costs	983
Total restructuring costs after tax	2,188

3 (b) Exceptional tax credit

As the financial conditions of the Group has improved significantly over the period, the deferred tax asset of £14.4m has now been recognised. Given the size and one- off nature, this deferred credit has been treated as an exceptional item.

3 (c) Discontinued operations - business rates and property costs

A change to the law regarding business rates on vacant properties has been substantially enacted during the period. Prior to the change, there were no business rates to pay for the first three months that a property was empty, and then there was a business rates exemption of 50% for retail properties and 100% for warehouses. Following the change, there is still an exemption for the first three months for all properties, and six months for industrial and warehouse properties, but after that time companies now have to pay business rates at 100% for all properties. The amount provided in this period relates primarily to business rates on properties which were part of the Group's former MFI Retail operations, which were discontinued in 2006. On the disposal of the MFI Retail operations, the continuing Group remained the ultimate guarantor for these properties and made such provision for rent payable in empty periods as was considered necessary at the time. That provision was included in the £31.7m item "Exceptional provisions on disposal of MFI Retail Limited" included in the 2006 accounts and shown in the 2006 comparative figures below. Of the total £7.1m charged in the period, £5.6m relates to business rates, while the balance relates to other related property expenses. There is an associated tax credit of £2.1m.

4. STAFF NUMBERS AND COSTS

The average number of persons (excluding directors) employed by the Company during the period was:

	27 Dec 2008	29 Dec 2007
	No.	No.
Management and administration	42	49
	42	49

The aggregate payroll costs of these persons were as follows:	27 Dec 2008 £000	29 Dec 2007 £000
Wages and salaries	8,298	10,238
Social security costs	732	1,538
Other pension costs	11,786	9,437
Share-based payments	3,415	2,989
	24,231	24,202

5. REMUNERATION OF DIRECTORS

The emoluments of the directors were as follows:

	27 Dec 2008	29 Dec 2007
	£000	£000
Directors' emoluments	**2,148**	1,855
Pension costs	**132**	116
	2,280	1,971

The aggregate emoluments of the highest paid director in the 52 weeks to 27 December 2008 were £1,067,000 (*52 weeks to 29 December 2007 were £1,050,600).*

Based on normal retirement age the accrued pension of the highest paid director, should he leave employment at the end of the financial year, is £41,900 (*2007: £39,900).* The number of directors accruing benefits under the pension scheme is two *(2007: two).*

6. INTEREST PAYABLE AND RECEIVABLE

Interest payable	27 Dec 2008	29 Dec 2007
	£000	£000
Interest payable	**(30)**	(95)
Interest charge on finance lease payments	**(100)**	(16)
	(130)	(111)

Interest receivable	27 Dec 2008	29 Dec 2007
	£000	£000
Bank interest	**41**	66
	41	66

7. TAX ON LOSS ON ORDINARY ACTIVITIES

	27 Dec 2008	29 Dec 2007
UK corporation tax:	£000	£000
Current period	**(8,669)**	(10,161)
Adjustments relating to prior periods	**588**	-
Current tax credit	**(8,081)**	(10,161)
Deferred tax – current year	**4,050**	2,971
prior year	**(2,220)**	(14,423)
Adjustments relating to change of rate*	**-**	964
Tax credit on loss on ordinary activities	**(6,251)**	(20,649)

Factors affecting current period corporation tax

	2008	2007
The current corporation tax credit, as a percentage of loss on operating activities before taxation, is calculated at	**(24.8%)**	(64.4%)

7. TAX ON LOSS ON ORDINARY ACTIVITIES (continued)

The current period corporation tax credit for the period is higher *(2007: higher)* than the standard rate of corporation tax relief of 28.5% for the following reasons:

	27 Dec 2008 £000	29 Dec 2007 £000
Loss on ordinary activities before taxation for the period	**(25,229)**	(33,691)
Loss on ordinary activities before taxation for the period multiplied by the standard rate of corporation tax in the UK of 28.5% *(2007: 30%)*	**(7,190)**	(10,107)
Expenses not deductible for tax purposes	**290**	728
Capital allowances in excess of depreciation	**(831)**	(967)
Movement in short-term timing differences	**(1,633)**	(6)
Tax deductions on share option exercises	**(50)**	-
Amortisation of shares	**869**	-
Intercompany balances write off	**(132)**	-
Loss on disposals of non – qualifying fixed assets	**9**	191
Prior year adjustments	**588**	-
Current tax credit for the year	**(8,081)**	(10,161)

*On 26 June 2007 the House of Commons approved the Finance Bill which reduces the UK standard rate of corporation tax from 30% to 28% with effect from 1 April 2008. The deferred tax asset has been recognised at 28%.

Factors that may affect future tax charges

It is expected that the effective rate of corporation tax will stabilise at around 28%.

8. TANGIBLE FIXED ASSETS

	Leasehold Properties under 50 years £000	Plant and machinery £000	Fixtures and fittings £000	Assets in the course of construction £000	Total £000
Cost:					
At 29 December 2007	8,175	81,608	5,142	4,164	99,089
Additions	1,054	5,285	2	(4,141)	-
Disposals	(741)	(7,015)	(372)	-	(8,127)
At 27 December 2008	**8,489**	**79,718**	**4,772**	**24**	**93,003**
Depreciation:					
At 29 December 2007	3,900	76,691	4,397	-	84,988
Charge for the period	449	3,318	287	-	4,054
Disposals	(547)	(7,117)	(372)	-	(8,036)
At 27 December 2008	**3,802**	**72,708**	**4,313**	**-**	**80,823**
Net book value					
At 27 December 2008	**4,687**	**7,010**	**459**	**24**	**12,180**
At 29 December 2007	4,275	4,918	745	4,163	14,101

Analysis of assets held under finance leases	**27 December 2008**		29 December 2007	
	Plant, Machinery & vehicles £000	**Assets in the course of construction £000**	Plant, Machinery & vehicles £000	Assets in the course of construction £000
Cost	**3,600**	-	-	3,050
Accumulated depreciation	**(406)**	-	-	-
Net book value	**3,194**	-	-	3,050

9. INVESTMENTS

Cost	Shares in ultimate parent £000	Total £000
At 29 December 2007	67,216	67,216
Disposals	-	-
At 27 December 2008	**67,216**	**67,216**
Provisions		
At 29 December 2007	(18,742)	(18,742)
At 27 December 2008	**(18,742)**	**(18,742)**
Net book value		
At 27 December 2007	48,473	48,473
At 29 December 2008	**48,473**	**48,473**

Employee Share Schemes
The Company maintains three employee share ownership trusts, which hold shares in Galiform Plc. These are summarised as follows:

	Shareholding (No. of shares)	Value on 27 Dec 2008 £000	Dividends Waived
Galiform Employee Share Trust	35,158,654	5,098	Y
Galiform Employee Benefit Trust	190,000	28	Y
Galiform Free share Trust	1,014,713	147	Some

As at 27 December 2008, 61% of the above shares were allocated to existing options awards.

The trusts have been funded by the employing companies in the Group to acquire shares in Galiform Plc. The cost of running these trusts is included in the profit and loss account. The Trusts have undertaken the following activities:

Galiform Employee Share Trust
- to transfer shares to executive directors when shares vest under the Galiform Performance Share Plan
- to transfer shares to employees on exercise of various options granted under (i) an unapproved share option scheme and (ii) the Galiform Performance Share Plan

Galiform Employee Benefit Trust
- to transfer shares to employees under the Galiform Group Profit Sharing Trust

Galiform Free share Trust
- to transfer shares to employees when shares vest under the Galiform Free share Plan

There has been no impairment in the investment as the directors are of the opinion that this does not represent a permanent diminution in the share price.

10. DEBTORS

	27 Dec 2008	29 Dec 2007
Amounts falling due within one year:	£000	£000
Trade debtors	**848**	3,918
Amounts owed by parent and fellow subsidiary undertakings	**398,671**	402,491
Other debtors	**220**	-
Deferred tax asset (note 13)	**11,670**	13,500
Prepayments and accrued income	**4,566**	3,916
VAT	**1,462**	1,319
Corporation tax	**8,081**	36,161
	425,518	461,305

11. CREDITORS

	27 Dec 2008	29 Dec 2007
Amounts falling due within one year:	£000	£000
Trade creditors	**567**	2,995
Amounts owed to parent and fellow subsidiary undertakings	**753,226**	769,112
Other taxes and social security	**1,091**	-
Current portion of amounts due under finance leases	**1,225**	1,061
Other creditors	-	1,363
Accruals	**13,264**	12,782
	769,373	787,312

	27 Dec 2008	29 Dec 2007
Amounts falling due after more than one year:	£000	£000
Non-current portion of amounts due under finance leases	**949**	1,936
	770,322	784,912

12. PROVISIONS FOR LIABILITIES AND CHARGES

	Property Provision £000	Pension scheme £000	Total £000
At 29 December 2007	26,597	102	26,699
Utilisation	(7,446)	-	(7,446)
Released	(75)	(102)	(177)
Additional provision	4,340	-	4,340
At 27 December 2008	**23,416**	**-**	**23,416**

The property provision mainly covers onerous leases. For any such leases, the Group provides for any shortfall between rent payable and rent receivable on any non-trading leased properties. The provision is based on the period until the end of the lease, or until the Group can cover the shortfall by subletting, assigning or surrendering the lease. None of the provisions are short term. The property provision also includes amounts for any related shortfalls in business rates on these properties, and for dilapidations.

Pension scheme is the difference between cash paid and what has been expensed to the P&L.

13. DEFERRED TAXATION

The deferred taxation asset comprises:

	£000
At 29 December 2007	(13,500)
Charged during the period	4,050
Adjustments in respect of prior periods	(2,220)
At 27 December 2008	**(11,670)**

ANALYSIS OF DEFFERED TAX BALANCES

	29-Dec-07 £000	29 Dec 2007 £000
Short term timing differences	**(4,664)**	(8,058)
Accelerated capital allowances	**(7,006)**	(5,442)
Total	**(11,670)**	(13,500)

There are potential deferred tax assets in relation to trading tax losses totalling £8.7m (2007: £8.7m) that have not been recognised on the basis that their future economic benefit is uncertain. All these losses may be carried forward indefinitely.

14. AUTHORISED AND ISSUED SHARE CAPITAL

	27 Dec 2008 £000	29 Dec 2007 £000
12,500 authorised ordinary shares of £1 each	**12,500**	12,500
12,358 allotted issued and fully paid ordinary shares of £1 each	**12,358**	12,358

15. RECONCILIATION OF MOVEMENT IN SHAREHOLDERS' FUNDS

Movements during the period were as follows:

	Share Capital	Profit and Loss Reserve	Share-based payment reserve	Shareholders' Funds
	£'000	£'000	£'000	£'000
As at 27 December 2007	12,358	(315,089)	10,776	(291,955)
Amount transferred to reserves	-	(18,978)	-	(18,978)
Share based payments	-	-	3,415	3,415
As at 27 December 2008	**12,358**	**(334,067)**	**14,191**	**(307,518)**

16. FINANCIAL COMMITMENTS

At 29th December 2007, the annual commitments under non-cancellable operating leases were as set out below:

	27 Dec 2008		29 Dec 2007	
	Property	Plant and Machinery	Property	Plant and Machinery
Operating leases which expire:	£000	£000	£000	£000
Within one year	-	66	87	72
Between two and five years	750	59	1,261	51
Over five years	10,588	-	12,108	-
	11,338	125	13,455	123

17. FINANCE LEASES

The finance lease obligations are repayable as follows:	27 December 2008 £000	29 December 2007 £000
Current liabilities:		
Within one year	1,225	1,061
Non-current liabilities:		
In the second year	949	1,098
In the third to fifth years inclusive	-	838
Total finance lease obligations	2,174	2,997

All finance lease obligations are in sterling. They are at a fixed interest rate of 5.3 %. The finance lease obligations are unsecured, to be updated based on the facts. The average remaining lease term is 1 years and 9 months.

Reconciliation of total future minimum lease payments to their present value

	Minimum lease payments		Present value of minimum lease payments	
	27 December 2008 £000	29 December 2007 £000	27 December 2008 £000	29 December 2007 £000
Amounts payable under finance leases:				
Within one year	1,289	1,147	1,225	1,061
In the second year	980	1,154	949	1,098
In the third to fifth years inclusive	-	866	-	838
	2,268	3,167	2,174	2,997
Less: future finance charges	(95)	(171)		
Present value of lease obligations	2,174	2,997		
Disclosed as:				
Current	1,225	1,061		
Non-current	949	1,936		
	2,174	2,997		

18. CONTINGENT LIABILITIES

Members of the Group have assigned UK property leases in the normal course of business. Should the assignees fail to fulfil any obligations in respect of these leases, members of the Group will be liable for those defaults. The number of claims arising to date has been small and the cost, which is charged to income as it arises, has not been material.

There is a Group VAT registration cross-guarantee under which if one Group company fails to pay its VAT then the other Group companies are jointly and severally liable. The amount outstanding on this guarantee at the period end is £10.3m (2007: £11.3m).

The Company, together with other Group companies, has guaranteed the Group's obligations under the Group bank facility.

19. PENSIONS

i) Defined contribution pensions

The Galiform Group operates a defined contribution scheme for its employees. The Company's pension charge for the current year for the defined contribution pension scheme was £0.1m (2007: £0.1m). There were no outstanding contributions at the period end.

ii) Defined benefit pensions

The Company participates in the Galiform Plc Group retirement benefit plan. This is a defined benefit multi-employer arrangement, which operates through s funded pension schemes which provides benefits based on the final pensionable pay of participating employees. The assets of the scheme are held separately from those of the Group, being invested with independent fund managers. The Company is unable to identify its share of the underlying assets and liabilities of the scheme and accordingly accounts for the scheme as if it was a defined contribution scheme. This is the prescribed treatment in FRS 17 "Retirement Benefits"

Further information about the Galiform plc defined-contribution retirement benefit schemes is available in the Galiform Plc statutory accounts. The latest actuarial valuation of the Group defined contribution schemes was carried out at 6 April 2008 by the scheme actuary. This was subsequently rolled forward to 27 December 2008 by the actuary advising the Group, and restated on a basis consistent with market conditions at that date. This exercise showed a scheme deficit at 27 December 2008 of £122.2m (2007: £83.5m), before netting off the associated deferred tax asset. The roll-forward was done according to the requirements of International Accounting Standard 19: "Employee Benefits" ("IAS 19", under which the Galiform Group reports its results), rather than FRS 17 (under which this Company reports its results). However, management have no reason to believe that there would be any significant difference between a valuation under FRS17 and one under IAS 19. Further details are given in the consolidated financial statements of Galiform Plc.

The Company's defined benefit pension charge for the year was £11.7m (2007: £9.3m). There were no outstanding contributions at the period end.

The Group adopted IFRS with effect from 26 December 2004, and therefore the Group consolidated financial statements disclose pension charges, assets, and liabilities in line with IAS 19 "Employee Benefits". The Group does not believe that there are any material differences between the net pension deficit and the pension charge under IAS 19, compared to under FRS17. It may therefore be useful to users of these accounts to consult the full IAS 19 disclosures given in the consolidated financial statements of Galiform Plc.

20. ULTIMATE PARENT COMPANY AND RELATED PARTY TRANSACTIONS

The Company's parent company is Orchardlight Ltd and the ultimate parent company and controlling entity is Galiform Plc, formerly MFI Furniture Group Plc, both incorporated in Great Britain and registered in England and Wales.

The largest and smallest group in which the results of the Company are consolidated is that headed by Galiform Plc. The consolidated accounts of this group are available to the public and can be obtained from the Registrar of Companies, Companies Registration Office, Crown Way, Maindy, Cardiff, CF14 3UZ.

The Company is exempt under FRS 8 from the requirement to disclose transactions with the group headed by Galiform Plc, on the grounds that it is a wholly owned subsidiary.

21. SHARE BASED PAYMENTS

1) Details of each scheme

The Company recognised a charge of £3.4m (2007: £3.0m) in respect of share-based payments during the period. This charge is included as part of Staff Costs. The Company has various share-based payment schemes, which are all equity-settled. The main details of all schemes which existed during the period are given below.

a) Performance Share Plan

This is a discretionary free share plan where participants have a contingent right to receive free shares with performance conditions attached.

The performance period is measured from the start of the financial period in which the awards are granted. The performance period is three years. Vesting occurs at the end of the performance period. The different subdivisions and performance conditions are as follows:

i) Performance is measured relative to a Comparator Group of 12-14 companies. 40% of the award vests if Total Shareholder Return ("TSR") is at median level compared to the Comparator Group over the performance period, subject to a condition that EPS must also grow by at least 9%. 100% of the award vests if TSR is at upper quartile level and the EPS growth condition is also satisfied. The award vests on a straight-line basis between these maximum and minimum points. These awards lapsed during the year.

ii) no other condition other than continued employment

iii) 50% of the Options shall be exercisable if the compound annual growth in the Group's Operating Profit over the performance period is at least 10% rising to 100% if compound annual growth over the same period is at least 20%.

iv) 25% of the award will vest if 2010 PBT of £110 million is achieved. 100% will vest if 2010 PBT of £135 million is achieved. The awards will vest on a sliding scale between these two points.

b) (i) Deferred Bonus Plan - pre-2008 grants

Participants defer their cash bonus into shares for a period of three years. Participants have no entitlement to dividends during the deferral period. There are no performance conditions attached. The shares vest at the end of the three year holding period.

b) (ii) Deferred Bonus Plan - 2008 grant

Under the Co-Investment Plan participants can defer some or all of their cash bonus into shares and pledge theses deferred shares as "invested shares" under the plan (see below (d)). The deferred share awards in 2008 are the result of participants deferring the cash bonuses awarded to them in March 2008. The shares are held in trust and participants are entitled to dividends during the deferral period. A participant can remove the shares from the Trust at any time but as they would no longer be pledged as Invested Shares under the Co-Investment Plan, then unless replaced, the participant would forego the resulting match.

c) Senior Management Co-Investment Plan
This is a co-investment plan whereby employees can defer their cash bonus into shares ("commitment shares") or pay cash to the company to buy shares at market value ("top up shares"). The employee receives dividends on these shares.

The plan awards a number of matching shares, equal to 1.5 times the number of commitment and top-up shares. Participants are not entitled to dividends on the matching shares. This plan vests three years from the date of grant. The performance conditions dictate that 50% will vest if there is an EPS growth of RPI plus 80% over the performance period, and at 100% if there is an EPS growth of RPI plus 100% over the performance period. EPS growth performance is measured from the start of the financial year in which the awards were granted. The performance period is three years.

The matching awards lapsed during the year.

d) Co-Investment Plan
This is a co-investment plan where each participant is permitted to invest a limited amount of shares on an annual basis for the purposes of the Plan.
(i) (A) 2007 award: PBT targets. At the end of a three year performance period, each invested share will be matched by an award of up to three matching shares if 2010 PBT of £135m is achieved; 25 percent of the maximum match (i.e. 0.75:1) will be earned for achieving 2010 PBT of £110 million and the awards will vest on a sliding scale between these two points.
(i) (B) 2007 award: individual non-market related performance conditions. On 31/12/08 each invested share will be matched by an award of up to three matching shares if certain individual targets are achieved.
(ii) (A) 2007 award: TSR target. A further match of up to two shares will be made for achieving upper quartile Total Shareholder Return (TSR), measured against the FTSE 250 Index (excluding investment trusts).
(ii)(B) 2007 award: 2009 PBT target. At the end of 2009, each invested share will be matched by an award of up to two matching shares if 2009 PBT target (pro-rated in relation to the 2010 target noted in (i) (A) above) is achieved.

e) Foundation Plan
This plan awards nil-cost options, and also options with an exercise price equal to the market price at the date of grant.

2006 Awards
These vested on the last day of the 2005/06 financial year, as the performance conditions were met. There is a further deferral period of two years before the awards are made available to the participants.
Vesting of awards granted in the form of nil-cost options depended on the achievement of a share price hurdle over thirty consecutive dealing days. 15% of the award vests for the achievement of 95 pence and 100% of the award vests for the achievement of 125 pence. The award vests on a straight line basis between these two points.
Vesting of awards granted in the form of options with an exercise price equal to the market price at the date of grant vest depended on the achievement of a share price hurdle over thirty consecutive dealing days. The exercise price of the options granted in 2006 was 92p. 35% of this award vests if the share price achieves 115 pence over thirty consecutive dealing days, and 100% of the award vests if the share price achieves 160 pence over thirty consecutive dealing days. The award vests on a straight line basis between these two points.

2007 Awards
These awards were granted in the form of nil cost options and vested on the last day of the 2006/7 financial year to the degree that the performance conditions had been met. There is a further deferral period of two years before the vested awards are made available to the participants.

f) Executive Share Options

This is a discretionary share option plan. These options are granted with an exercise price equal to market value. The vesting period is three years from the date of grant with an exercise period of seven years (i.e. a total life of ten years). In the information below, these options have been further subdivided according to their different performance conditions, in order to give more meaningful information. The different subdivisions and performance conditions are as follows:

i) 40% vesting if EPS growth equals RPI+40%, rising to 100% vesting for EPS growth of RPI+100%

ii) 50% vesting if there is EPS growth of 60% over the performance period, and 100% vesting if there is EPS growth of 120% over the performance period

iii) No other condition except for continued employment with the Group

iv) EPS growth must equal RPI + 9%. If this is achieved there will be full vesting. If this is not achieved there will be no vesting.

v) 20% of the options will vest if the share price over 30 consecutive dealing days is 185p rising on a straight line basis to 100% vesting if the share price over 30 consecutive days reaches 265p. Underpinning this is a requirement to achieve 20% annual compound growth over the performance period.

h) SAYE (Sharesave)

This is a save as you earn scheme for all employees whereby participants receive an option to purchase shares at a later date at a price equal to the market price at grant date. The term of this scheme is five years ending on 1.12.08. Participants have a right to exercise options for a period of six months after this date.

21. SHARE-BASED PAYMENTS

2) Movements – The following tables show the number and weighted average exercise prices ("WAEP) of each category of options during the period, and movements in each category.

a) Performance Share Plan

(i) 40% of the award vests if Total Shareholder Return ("TSR") is at median level compared to the Comparator Group over the performance period, subject to a condition that EPS must also grow by at least 9%. 100% of the award vests if TSR is at upper quartile level and the EPS growth condition is also satisfied. The award vests on a straight-line basis between these maximum and minimum points

	52 weeks to 27 December 2008 Number	**52 weeks to 27 December 2008 WAEP (£)**	52 weeks to 29 December 2007 Number	52 weeks to 29 December 2007 WAEP (£)
In issue at beginning of period	**1,088,846**	**0.00**	1,786,355	0.00
Granted in period	**0**	**N/A**	0	N/A
Lapsed in period	**(1,088,846)**	**0.00**	(697,509)	0.00
Exercised in period	**0**	**N/A**	0	N/A
In issue at end of period	**0**	**N/A**	1,088,846	0.00
Exercisable at end of period	**0**	**N/A**	1,088,846	0.00
Number of options in the closing balance that were granted before 7 November 2002	**0**		0	
Weighted average share price for options exercised during the period		**N/A**		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	**0.00**		0.04	
Weighted average fair value of options granted during the period (£)	**N/A**		N/A	
Range of exercise prices for options outstanding at the period end (£):				
- from	**0.00**		0.00	
- to	**0.00**		0.00	

a) Performance Share Plan
ii) no other condition other than continued employment

	52 weeks to 27 December 2008 Number	**52 weeks to 27 December 2008 WAEP (£)**	52 weeks to 29 December 2007	52 weeks to 29 December 2007
In issue at beginning of period	**4,000**	**N/A**	0	N/A
Granted in period	**0**	**N/A**	5,500	0.00
Lapsed in period	**(500)**	**0.00**	(500)	0.00
Exercised in period	**0**	**N/A**	(1,000)	0.00
In issue at end of period	**3,500**	**0.00**	4,000	N/A
Exercisable at end of period	**0**	**N/A**	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	**0**		0	
Weighted average share price for options exercised during the period		**0.53**		1.15
Weighted average contractual life remaining for share options outstanding at the period end (years)	**1.42**		2.42	
Weighted average fair value of options granted during the period (£)	**N/A**		1.51	
Range of exercise prices for options outstanding at the period end (£):				
- from	**0.00**		0.00	
- to	**0.00**		0.00	

21. SHARE-BASED PAYMENTS (continued)

a) Performance Share Plan

iii) 50% of the Options shall be exercisable if the compound annual growth in the Group's Operating Profit over the performance period is at least 10% rising to 100% if compound annual growth over the same period is at least 20%.	**52 weeks to 27 December 2008**	**52 weeks to 27 December 2008**	52 weeks to 29 December 2007	52 weeks t 29 Decembe 200
	Number	**WAEP (£)**	Number	WAEP (£
In issue at beginning of period	**260,197**	**0.00**	0	N/
Granted in period	**0**	**N/A**	260,197	0.0
Lapsed in period	**0**	**N/A**	0	N/
Exercised in period	**0**	**N/A**	0	N/
In issue at end of period	**260,197**	**0.00**	260,197	0.0
Exercisable at end of period	**0**	**N/A**	0	N/
Number of options in the closing balance that were granted before 7 November 2002	**0**		0	
Weighted average share price for options exercised during the period		**0.00**		N/
Weighted average contractual life remaining for share options outstanding at the period end (years)	**1.42**		2.42	
Weighted average fair value of options granted during the period (£)	**N/A**		N/A	
Range of exercise prices for options outstanding at the period end (£):				
- from	**0.00**		0.00	
- to	**0.00**		0.00	

a) Performance Share Plan

iv) 25% of the award will vest if 2010 PBT of £110 million is achieved. 100% will vest if 2010 PBT of £135 million is achieved. The awards will vest on a sliding scale between these two points.	**52 weeks to 27 December 2008**	**52 weeks to 27 December 2008**	52 weeks to 29 December 2007	52 weeks t 29 Decembe 200
	Number	**WAEP (£)**	Number	WAEP (£
In issue at beginning of period	**265,124**	**0.00**	0	N/
Granted in period	**0**	**N/A**	265,124	0.0
Lapsed in period	**0**	**N/A**	0	N/
Exercised in period	**0**	**N/A**	0	N/
In issue at end of period	**265,124**	**0.00**	265,124	0.0
Exercisable at end of period	**0**	**N/A**	0	N/
Number of options in the closing balance that were granted before 7 November 2002	**0**		0	
Weighted average share price for options exercised during the period		**0.00**		N/
Weighted average contractual life remaining for share options outstanding at the period end (years)	**2.00**		3.00	
Weighted average fair value of options granted during the period (£)	**N/A**		1.08	
Range of exercise prices for options outstanding at the period end (£):				
- from	**0.00**		0.00	
- to	**0.00**		0.00	

21. SHARE-BASED PAYMENTS (continued)

b) (i) Deferred Bonus Plan - pre 2008 grants	52 weeks to 27 December 2008 Number	52 weeks to 27 December 2008 WAEP (£)	52 weeks to 29 December 2007 Number	52 weeks to 29 December 2007 WAEP (£)
In issue at beginning of period	643,807	0.00	512,425	0.00
Granted in period	0	N/A	187,181	0.00
Lapsed in period	0	N/A	0	N/A
Exercised in period	(170,831)	0.00	(55,799)	0.00
In issue at end of period	0	N/A	643,807	0.00
	472,976	0.00		
Exercisable at end of period	0		0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0	N/A	0	
Weighted average share price for options exercised during the period	0.82			1.64
Weighted average contractual life remaining for share options outstanding at the period end (years)		0.55	1.28	
Weighted average fair value of options granted during the period (£)	N/A		1.42	
Range of exercise prices for options outstanding at the period end (£):				
- from	0.00		0.00	
- to	0.00		0.00	

b) (ii) Deferred Bonus Plan - 2008 grant	52 weeks to 27 December 2008 Number	52 weeks to 27 December 2008 WAEP (£)
In issue at beginning of period	0	0.00
Granted in period	758,311	0.00
Lapsed in period	0	N/A
Exercised in period	0	0.00
In issue at end of period	758,311	0.00
Exercisable at end of period	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0	
Weighted average share price for options exercised during the period	N/A	
Weighted average contractual life remaining for share options outstanding at the period end (years)		2.01
Weighted average fair value of options granted during the period (£)	0.79	
Range of exercise prices for options outstanding at the period end (£):		
- from	0.00	
- to	0.00	

21. SHARE-BASED PAYMENTS (continued)

c) Senior Management Co-investment Plan	52 weeks to 27 December 2008 Number	52 weeks to 27 December 2008 WAEP (£)	52 weeks to 29 December 2007 Number	52 weeks to 29 December 2007 WAEP (£)
In issue at beginning of period	72,432	0.00	111,412	0.00
Granted in period	0	N/A	0	N/A
Lapsed in period	(72,432)	0.00	(38,980)	0.00
Exercised in period	0	N/A	0	N/A
In issue at end of period	0	N/A	72,432	0.00
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	0.00		0.25	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£):				
- from	N/A		0.00	
- to	N/A		0.00	

d) (i) (A) Co-Investment Plan 2007 award:PBT Target	52 weeks to 27 December 2008 Number	52 weeks to 27 December 2008 WAEP (£)	52 weeks to 29 December 2007 Number	52 weeks to 29 December 2007 WAEP (£)
In issue at start of period	5,070,000	0.00	0	N/A
Granted in period	0	N/A	5,070,000	0.00
Lapsed in period	(1,560,000)	N/A	0	N/A
Exercised in period	0	N/A	0	N/A
In issue at end of period	3,510,000	0.00	5,070,000	0.00
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	2.00		3.00	
Weighted average fair value of options granted during the period (£)	0.00		1.08	
Range of exercise prices for options outstanding at the period end (£):				
- from	0.00		0.00	
- to	0.00		0.00	

21. SHARE-BASED PAYMENTS (continued)

d) (i) (B) Co-investment Plan: 2007 award, individual non-market related performance conditions	52 weeks to 27 December 2008 Number	52 weeks to 27 December 2008 WAEP (£)
In issue at start of period	0	N/A
Granted in period	1,560,000	0.00
Lapsed in period	0	N/A
Exercised in period	0	N/A
In issue at end of period	1,560,000	0.00
Exercisable at end of period	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0	
Weighted average share price for options exercised during the period		0.00
Weighted average contractual life remaining for share options outstanding at the period end (years)	2.57	
Weighted average fair value of options granted during the period (£)	0.69	
Range of exercise prices for options outstanding at the period end (£):		
- from	0.00	
- to	0.00	

d) (ii) (A) Co-investment Plan: 2007 award, TSR target	52 weeks to 27 December 2008 Number	52 weeks to 27 December 2008 WAEP (£)	52 weeks to 29 December 2007 Number	52 weeks to 29 December 2007 WAEP (£)
In issue at start of period	3,380,000	0.00	0	N/A
Granted in period	0	N/A	3,380,000	0.00
Lapsed in period	(1,040,000)	N/A	0	N/A
Exercised in period	0	N/A	0	N/A
In issue at end of period	2,340,000	0.00	3,380,000	
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	2.00		3.00	
Weighted average fair value of options granted during the period (£)	N/A		0.55	
Range of exercise prices for options outstanding at the period end (£):				
- from	0.00		0.00	
- to	0.00		0.00	

21. SHARE-BASED PAYMENTS (continued)

d) (ii) (B) Co-investment Plan: 2007 award, 2009 PBT target	52 weeks to 27 December 2008 Number	52 weeks to 27 December 2008 WAEP (£)
In issue at start of period	0	N/A
Granted in period	1,040,000	0.00
Lapsed in period	0	N/A
Exercised in period	0	N/A
In issue at end of period	1,040,000	0.00
Exercisable at end of period	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0	
Weighted average share price for options exercised during the period		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	2.57	
Weighted average fair value of options granted during the period (£)	0.69	
Range of exercise prices for options outstanding at the period end (£):		
- from	0.00	
- to	0.00	

e) Foundation Plan

i) 2006 award - Nil Cost Options	52 weeks to 27 December 2008 Number	52 weeks to 27 December 2008 WAEP (£)	52 weeks to 29 December 2007 Number	52 weeks to 29 December 2007 WAEP (£)
In issue at beginning of period	2,375,000	0.00	2,375,000	0.00
Granted in period	0	N/A	0	N/A
Lapsed in period	0	N/A	0	N/A
Exercised in period	0	N/A	0	N/A
In issue at end of period	2,375,000	0.00	2,375,000	0.00
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		0.00
Weighted average contractual life remaining for share options outstanding at the period end (years)	0.00		0.00	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£):				
- from	0.00		0.00	
- to	0.00		0.00	

21. SHARE-BASED PAYMENTS (continued)

e) Foundation Plan

ii) 2006 award - Market-value Options	**52 weeks to 27 December 2008 Number**	**52 weeks to 27 December 2008 WAEP (£)**	52 weeks to 29 December 2007 Number	52 weeks to 29 December 2007 WAEP (£)
In issue at beginning of period	**3,104,484**	**0.92**	5,980,000	0.92
Granted in period	**0**	**N/A**	0	N/A
Lapsed in period	**0**	**N/A**	(2,875,516)	0.92
Exercised in period	**0**	**N/A**	0	N/A
In issue at end of period	**3,104,484**	**0.92**	3,104,484	0.92
Exercisable at end of period	**0**	**N/A**	3,104,484	0.92
Number of options in the closing balance that were granted before 7 November 2002	**0**		0	
Weighted average share price for options exercised during the period		**N/A**		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	**0.00**		0.00	
Weighted average fair value of options granted during the period (£)	**N/A**		N/A	
Range of exercise prices for options outstanding at the period end (£):				
- from	**0.92**		0.92	
- to	**0.92**		0.92	

e) Foundation Plan

iii) 2007 award - Nil Cost Options	**52 weeks to 27 December 2008 Number**	**52 weeks to 27 December 2008 WAEP (£)**	52 weeks to 29 December 2007 Number	52 weeks to 29 December 2007 WAEP (£)
In issue at beginning of period	**2,050,000**	**0.00**	0	N/A
Granted in period	**0**	**N/A**	2,050,000	0.00
Lapsed in period	**0**	**N/A**	0	N/A
Exercised in period	**0**	**N/A**	0	N/A
In issue at end of period	**2,050,000**	**0.00**	2,050,000	0.00
Exercisable at end of period	**0**	**N/A**	0	0.00
Number of options in the closing balance that were granted before 7 November 2002	**0**		0	
Weighted average share price for options exercised during the period		**N/A**		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	**0.00**		0.00	
Weighted average fair value of options granted during the period (£)	**N/A**		1.01	
Range of exercise prices for options outstanding at the period end (£):				
- from	**0.00**		0.00	
- to	**0.00**		0.00	

21. SHARE-BASED PAYMENTS (continued)

f) Executive Share Options

i) 40% vesting if EPS growth = RPI+40% rising to 100% vesting if EPS growth = RPI+100%	52 weeks to 27 December 2008	52 weeks to 27 December 2008	52 weeks to 29 December 2007	52 weeks to 29 December 2007
	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	1,260,496	1.07	1,437,977	1.07
Granted in period	0	N/A	0	N/A
Lapsed in period	(581,504)	1.07	0	N/A
Exercised in period	0	N/A	(177,481)	1.07
In issue at end of period	678,992	1.07	1,260,496	1.07
Exercisable at end of period	678,992	1.07	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	0.00		0.42	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£):				
- from	106.50		1.07	
- to	106.50		1.07	

f) Executive Share Options

ii) 50% vesting if EPS growth is 60% and 100% vesting if EPS is 120%	52 weeks to 27 December 2008	52 weeks to 27 December 2008	52 weeks to 29 December 2007	52 weeks to 29 December 2007
	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	1,065,651	1.27	2,578,303	1.11
Granted in period	0	N/A	0	N/A
Lapsed in period	0	N/A	(721,443)	1.25
Exercised in period	0	N/A	(791,209)	1.47
In issue at end of period	1,065,651	1.27	1,065,651	1.27
Exercisable at end of period	1,065,651	1.27	1,065,651	1.26
Number of options in the closing balance that were granted before 7 November 2002	1,065,651	1.27	1,065,651	
Weighted average share price for options exercised during the period		N/A		1.47
Weighted average contractual life remaining for share options outstanding at the period end (years)	0.00		0.00	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£):				
- from	1.03		1.25	
- to	1.32		1.32	

21. SHARE-BASED PAYMENTS (continued)

f) Executive Share Options

iii) Full vesting if EPS increases by RPI + 9%	52 weeks to 27 December 2008 Number	52 weeks to 27 December 2008 WAEP (£)	52 weeks to 29 December 2007 Number	52 weeks to 29 December 2007 WAEP (£)
In issue at beginning of period	166,930	1.03	3,191,278	1.08
Granted in period	0	N/A	0	N/A
Lapsed in period	(7,725)	1.03	(1,891,487)	1.19
Exercised in period	0	N/A	(1,132,861)	1.47
In issue at end of period	159,205	0.94	166,930	1.03
Exercisable at end of period	159,205	0.94	709,098	1.05
Number of options in the closing balance that were granted before 7 November 2002	154,205		161,930	
Weighted average share price for options exercised during the period		N/A		1.06
Weighted average contractual life remaining for share options outstanding at the period end (years)	0.00		0.15	
Weighted average fair value of options granted during the period (£)	0.00		N/A	
Range of exercise prices for options outstanding at the period end (£):				
- from	62.75		0.63	
- to	139.00		1.39	

f) Executive Share Options

vi) 20% of the options will vest if the share price over 30 consecutive dealing days is 185p rising on a straight line basis to 100% vesting if the share price over 30 consecutive days reaches 265p. Underpinning this is a requirement to achieve 20% annual compound growth over the performance period.	52 weeks to 27 December 2008 Number	52 weeks to 27 December 2008 WAEP (£)	52 weeks to 29 December 2007 Number	52 weeks to 29 December 2007 WAEP (£)
In issue at beginning of period	2,763,406	1.59	0	N/A
Granted in period	0	N/A	2,763,406	1.59
Lapsed in period	0	N/A	0	N/A
Exercised in period	0	N/A	0	N/A
In issue at end of period	2,763,406	1.59	2,763,406	1.59
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		0.00
Weighted average contractual life remaining for share options outstanding at the period end (years)	1.42		2.42	
Weighted average fair value of options granted during the period (£)	N/A		0.43	
Range of exercise prices for options outstanding at the period end (£):				
- from	1.59		158.50	
- to	1.59		158.50	

21. SHARE-BASED PAYMENTS (continued)

g) SAYE (Sharesave)	**52 weeks to 27 December 2008 Number**	**52 weeks to 27 December 2008 WAEP (£)**	52 weeks to 29 December 2007 Number	52 weeks to 29 December 2007 WAEP (£)
In issue at beginning of period	**12,388**	**1.84**	15,488	1.84
Granted in period	**0**	**N/A**	0	N/A
Lapsed in period	**0**	**N/A**	(3,100)	1.84
Exercised in period	**0**	**N/A**	0	N/A
In issue at end of period	**12,388**	**1.84**	12,388	1.84
Exercisable at end of period	**12,388**	**1.84**		
Number of options in the closing balance that were granted before 7 November 2002	**0**		0	1.84
Weighted average share price for options exercised during the period		**N/A**	0	
Weighted average contractual life remaining for share options outstanding at the period end (years)	**0.00**			N/A
Weighted average fair value of options granted during the period (£)	**N/A**		1.01	
Range of exercise prices for options outstanding at the period end (£):			N/A	
- from	**1.84**			
- to	**1.84**		1.84	
			1.84	

3) Fair value of options granted

The fair value of all options granted except Sharesave is estimated on the date of grant using a binomial option valuation model. Sharesave schemes are valued using a Black Scholes model as they are not considered to be of such complexity that they require a binomial model.

The key assumptions used in the models were:

	52 weeks to 27 December 2008	52 weeks to 29 December 2007
Dividend yield (%)	0.71	2.0
Expected share price volatility (%)	46	36.0 to 39.0
Historical volatility (%)	46	36.0 to 39.0
Risk-free interest rate (%)	4.47	5.0 to 5.8
Expected life of options (years)	2.57	2.5 to 3.2